

GE Vernova Inc. Short

Cyclical Turbine Orders Priced as a Secular Compounder

Industrials | Power Generation and Grid Equipment | October 2, 2026

NYSE: GEV | Price (1 Oct 26): \$987.45
Street Price Target: \$1,237
Our 6-Month Price Target: \$860
Rating: **SHORT (-13%)**

Company Overview

GE Vernova was spun out of General Electric in April 2024 and its market cap has gone from ~\$36B to \$263B. Power (\$5.5B of Q2 2026 revenue, 18.8% segment EBITDA margin) sells heavy-duty and aeroderivative gas turbines plus long-term service agreements on an installed base the company puts at ~25% of world electricity. Electrification (\$3.6B, 18.4%) sells transformers, switchgear and HVDC and took full ownership of Prolec GE in February 2026. Wind (\$2.0B, -13.6%) is guided to a ~\$400M EBITDA loss. RPO was \$176.3B at 30 Jun, \$87.8B equipment and \$88.5B services. FY26 guidance is \$45.5-46.5B of revenue, a 12-14% adjusted EBITDA margin and \$11.5-12.5B of free cash flow.

116 GW	\$40.0B	42.6x	21.8%
"under contract", 63 GW of it reservations	contract liabilities, 3.0x book equity	EV / FY26E EBITDA at \$987	FY28E margin the price needs

Investment Thesis

We rate **GEV a Short with a 6-month price target of \$860, 13% below the 1 October close**. Our base-case DCF gives \$701 (-29%); the target is the midpoint of that value and the Street's estimates run through the same model (\$1,023), since the 2027 FCF guide and the ERCOT reports land late in the six-month window. At 42.6x FY26E EBITDA the market is pricing peak order intake, peak order pricing and deposit-funded cash flow. Our base case assumes no cancellations, only slower SRA conversions and flat orders, and gets to a 16% FY28E EBITDA margin against the Street's 21.6%.

I. The Headline Backlog Overstates Firm Demand

The 116 GW "under contract" is 53 GW of firm orders and 63 GW of slot reservation agreements (SRAs). An SRA is a non-refundable deposit on a manufacturing slot; it sits outside RPO and its price is usually set at conversion. Reservations went from 25 GW to 63 GW in a year and now exceed firm orders. Management expects firm backlog to pass SRAs in H2 2026; our base case gets there in Q2'27E. 44.5% of FY28E revenue comes from orders booked or SRAs converted after December 2025.

II. Free Cash Flow Is Customer Float

H1 2026 cash from operations was \$10.7B, but the increase in contract liabilities was \$13.7B, so operations excluding the deposit build used about \$3.0B. FY26 FCF guidance is 1.8-2.3x guided EBITDA. Deposits only add to cash while intake grows faster than deliveries. In our DCF, unlevered FCF falls from \$12.9B in FY26E to \$6.7B in FY27E as the deposit build slows from \$17.1B to \$5.7B, and the January 2027 FCF guide is the first print that can show it.

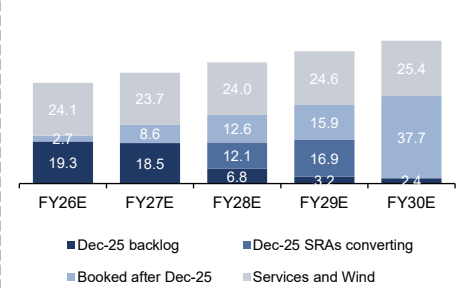
III. The AI Demand Signal Is Inflated

Utilities and IPPs buy most large-frame turbines and size orders off large-load forecasts. Texas has ~474 GW of large-load requests against a ~91 GW ERCOT record peak, and the governor's 3 August audit paused new data center interconnections. Screening shrinks the queue: Exelon's high-probability data center load fell ~40% to ~11 GW once it required deposits and site control, and AEP Ohio's requests fell by more than half after a \$100,000 study fee. For a hyperscaler a turbine deposit is small next to a stranded data center, so buyers over-reserve, and 2029-30 slots are the first spend cut if AI capex slows.

IV. Supply Arrives as the Reservations Deliver

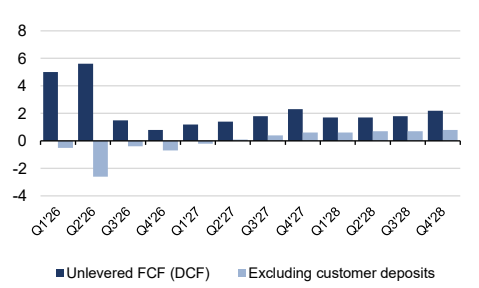
GE Vernova is taking gas turbine output from 20 GW a year to 24 GW in 2028 and 30 GW in 2030. Siemens Energy is adding medium and large units, Mitsubishi plans to double capacity versus 2024 and Doosan has entered North America. That capacity lands in 2028-30, the same years today's reservations deliver. The last US turbine boom (2001-03) ended in deferred and cancelled orders and several years of lower GE Power earnings.

Revenue by Order Vintage, Base Case (\$B)



\$24.7B (44.5%) of FY28E revenue comes from orders booked or SRAs converted after Dec-25; by FY29E it is over half.

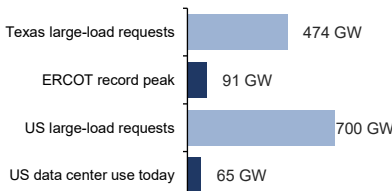
Unlevered FCF With and Without Deposits (\$B)



Without the deposit build, UFCF is negative through Q1'27 and under \$0.9B a quarter after.

Industry Overview

The buildout of data infrastructure and electrical power is a macro story, and the binding constraint is the supply of large gas turbines. Data center load is growing faster than firm power can be added, and only three OEMs make these machines: GE Vernova, Siemens Energy and Mitsubishi, with Doosan entering and their order books are already full. Anyone ordering today waits years, so turbine slots sets fast new capacity can come online. The scarcity shows up in price: GE Vernova priced H1 2026 equipment orders more than 20% above Q4 2025. Siemens Energy sizes the market at up to 120 GW a year, about half in the US, while Mitsubishi has said it will not take twice the orders. The demand behind the squeeze is data center load: US large-load requests exceed 700 GW against 60-70 GW of current data center use, far more than the OEMs can supply.

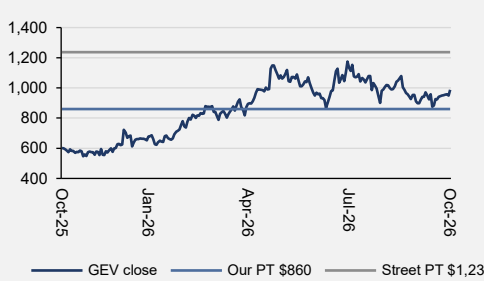


Requests are 5x the ERCOT record peak and around 10x US data center use.

Valuation Overview

Price (1 Oct 26)	\$987.45
Our 6-Month Price Target	\$860
Implied Downside	-12.9%
Base-Case DCF Value (6M)	\$701 (-29.0%)
Street Price Target	\$1,237
Diluted Shares	268.3M
Market Capitalisation	\$262,991M
Net Cash and Other (30 Jun)	\$7,898M
Enterprise Value	\$255,093M
FY2026E Adj. EBITDA (model)	\$5,984M
EV / FY2026E EBITDA	42.6x
EV / FY2028E EBITDA	28.7x
Forward P/E	47.2x
52-Week High / Low	\$1,196 / \$530
Analyst Ratings	30 of 37 Buy

Share Price, Last 12 Months (\$)



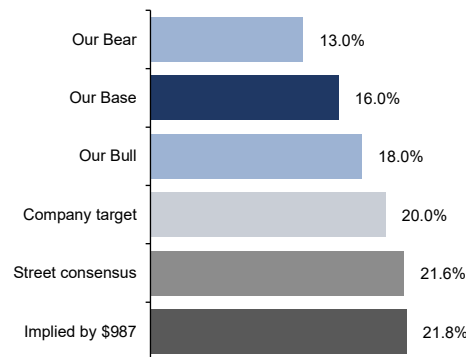
Market View

Consensus is long: 30 of 37 analysts rate GEV a Buy, the average target is \$1,237 and the only Sell (GLJ Research) is at \$470. The Street models a 21.6% FY28E EBITDA margin on \$60.6B of revenue. Run through our DCF at the same 20x exit, Street numbers are worth \$1,023 in six months (+3.6%), so the price already assumes the Street is right.

To see what the price needs, we hold Street revenue and our 20x exit and solve for the FY28E margin at which our DCF returns \$987.45. The answer is 21.8%, above the company's own 20% target. Put another way, the price needs 20.3x on Street EBITDA or 30.9x on ours (Reverse DCF rows 40-49).

Where we differ is margin and cash. Our FY28E EBITDA is \$8.9B against the Street's \$13.1B, and our FY28E unlevered FCF is \$7.4B against \$9.3B, because we let the deposit inflow fade as order growth slows.

FY2028E EBITDA Margin: Our Cases vs. the Price



Our base is 5.6 points below the Street.

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Valuation: How We Get to \$860

We value GEV with a quarterly DCF from Q3'26 to Q4'28 and an exit multiple at December 2028, then check it against Street numbers, peers and a reverse DCF. Each step ties to our model.

1. Revenue: \$55.5B in FY28E vs. \$60.6B Street. Gas Power is built in gigawatts. New SRAs slow from 9 GW a quarter in H2'26 to 6.25 GW in 2028, 9.5% of open SRAs convert to firm orders each quarter from 2027 (12% in H2'26) and 0.75% lapse. Shipments run at 92-96% of a factory that reaches 24 GW a year in 2028, and revenue per GW rises 11% a quarter through H2'26 as higher-priced SRAs ship, then under 1% a quarter. Power services grow 4.5-7%, Electrification orders track hyperscaler capex (+25% in 2027, +10% in 2028) and Wind shipments fall from 5.0 GW to 3.4 GW (Key Drivers).

2. Margin: 16.0% in FY28E. Adjusted EBITDA margin moves from 13.0%, inside the 12-14% guide, to 14.6% and 16.0% as pricing on new orders stops rising. That gives FY28E EBITDA of \$8.9B against the Street's \$13.1B.

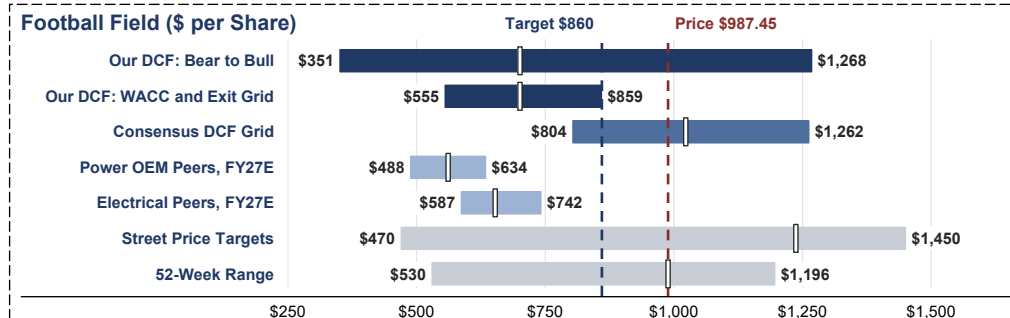
3. Free cash flow. Unlevered FCF is EBIT taxed at 25%, plus D&A, less capex (3.0-3.2% of revenue), a working-capital build of 40-60% of the revenue change and pension outflows, plus the change in customer deposits. Power deposits fall from 59% to 53% of Power RPO as order growth slows, so the deposit inflow drops from \$17.1B in FY26E to \$5.7B and \$4.6B, and UFCF goes from \$12.9B to \$6.7B and \$7.4B.

4. Discount rate: 9.89% WACC. Cost of equity is 9.97%: a 5.25% risk-free rate plus a 4.45% equity risk premium on a 1.06 beta, relevered from the peer median. Pre-tax cost of debt is 4.97% on the February 2026 notes, and debt is only 1.4% of capital (WACC Calculation tab).

5. Exit value. 20x FY29E EBITDA of \$9.7B gives \$193.5B at December 2028. The multiple sits inside the 16.6-21.9x range for Siemens Energy and Mitsubishi and implies 5.8% perpetuity growth. Discounted 2.5 years it is worth \$152.8B, 91% of EV.

6. Value per share: \$701. PV of UFCF (\$14.4B) plus the PV of the exit value gives EV of \$167.2B. Adding \$7.9B of net cash and other items gives equity of \$175.1B, or \$652 a share on 268.3M shares at 30 June. Carried at the cost of equity to the April 2027 exit date, that is \$701, 29% below the price.

7. Price target: \$860. The target is the midpoint of \$701 and the \$1,023 our model gives on Street estimates. The 2027 FCF guide and the ERCOT reports land late in the six-month window, so we do not underwrite the full move to our DCF value.



Sensitivity Analysis

6-Month Value per Share: WACC vs. Exit

WACC	16.0x	18.0x	20.0x	22.0x	24.0x
7.9%	\$603	\$667	\$731	\$795	\$859
8.9%	\$591	\$653	\$716	\$778	\$841
9.9%	\$578	\$640	\$701	\$762	\$823
10.9%	\$567	\$627	\$686	\$746	\$806
11.9%	\$555	\$614	\$672	\$731	\$789

The base-case value stays below the \$987 price at every WACC and exit multiple tested. Each 2x turn of multiple moves value about \$61 a share and each point of WACC about \$15. Covering the short at \$860 in six months returns 12.9% (27.5% annualized), and a move to the \$1,196 high would mean a 21.1% loss.

Risks & Mitigants

Turbine demand stays stronger for longer. If turbines stay sold out into 2031, pricing and the multiple hold. Our base case already assumes no cancellations, and a 24x exit at our WACC still gives \$823.

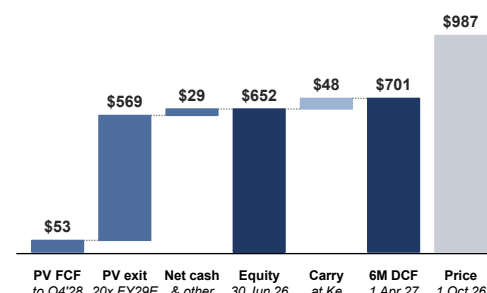
Backlog holds up better than expected. \$38.1B of equipment deposits make cancelling expensive. The model converts 9.5-12% of SRAs a quarter, so our downside comes from slower conversion and lower pricing. Above 15% of open SRAs for two quarters running would weaken the first pillar.

Services and Electrification earn a premium. The 20x exit sits inside the power OEM range, and Electrification compounds 27% a year in our model, so neither business is haircut.

Short-squeeze risk. 30 of 37 analysts rate GEV a Buy and the stock has already recovered from a ~25% drawdown this year. A put spread caps the loss; an outright short is sized at 1-2% of NAV with a stop at \$1,196.

Wind improves faster than expected. Wind is 12% of FY28E revenue in our model; A cut to the ~\$400M loss guide would lift consolidated margins.

Base Case DCF Bridge (\$ per Share)



Scenarios

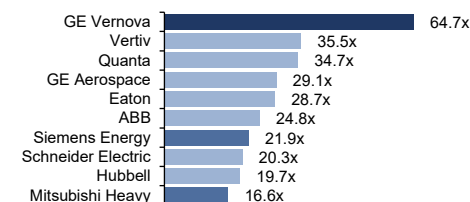
Bull: \$1,268 (+28%). SRAs keep signing at 8-11 GW a quarter and 10.5-12.5% convert; FY28E margin reaches 18% on \$58.8B and the market keeps paying 30x.

Base: \$701 (-29%). Signings slow to 6.25 GW a quarter, 9.5% convert, 16% margin on \$55.5B, 20x exit.

Bear: \$351 (-64%). Signings fall to 1.5 GW a quarter, 3% of SRAs lapse each quarter and shipments drop to 86% of capacity; the deposit unwind takes FY27E UFCF to -\$2.1B. 13% margin, 16x.

Weighted 25/50/25, \$755 (-24%)

Trading Comparables



Trailing EV/EBITDA: GEV 64.7x vs. a 24.8x peer median (42.6x FY26E on our numbers). Power OEMs (mid blue) at 16.6-21.9x imply \$488-634 a share on our FY27E EBITDA.

Catalysts

28 Oct, Q3 results. First test of the call that firm backlog passes SRAs in H2. SRAs still above firm, flat pricing or a slower deposit build support the short; a raise on rising pricing hurts it.

Late Oct, hyperscaler Q3. 2027 capex guided flat helps; guides toward the ~\$1T Street view do not.

19 Oct and 10 Dec, Texas. The TCEQ update and ERCOT's audit reports show how much of the 474 GW queue survives screening.

Nov, peers. Siemens Energy FY results and Mitsubishi's capacity update read across on pricing and push-outs.

Late Jan 2027 (est.), 2027 guide. First FCF guide after the deposit build slows; we have FY27E UFCF at \$6.7B vs. \$11.5-12.5B guided for 2026.

Acquisitions (Last 2 Years)

Prolec GE, 50% (\$5.3B, Feb 26): Accretive. Bought at about 14x EBITDA vs. GEV at 64.7x. Half debt-funded at 4.97%. We est. +\$60M after-tax, thin after amortization.

Woodward combustion parts (Mar 25): Neutral. Terms undisclosed. Supply-chain fix.

Alteia (Aug 25), Robotech (Jul 26): Neutral. Undisclosed, small AI and robotics tuck-ins.

Only Prolec could potentially impact, but it sits inside our 27% Electrification growth assumption.